

25STCV12110 25STCV12110

County: los-angeles

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Department: 732

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Case Number: 25STCV12110 Hearing Date: July 15, 2026 Dept: 732

Frederick J. Rosenthal, et al. v. Jerald Joseph Halverson, et al.

Wednesday, July 15, 2026

CASE NUMBER: 25STCV12110

OPPOSED

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal, and the Rosenthal 2022 Irrevocable Trust's Motion to Tax Costs Sought by Defendant Lincoln National Life Insurance Company

Facts: This is an action for breach of fiduciary duty and professional negligence. The Complaint alleges as follows. Plaintiff Frederick J. Rosenthal (Plaintiff) retained Jerald Joesph Halverson (Halverson) to provide financial estate strategies. (Complaint ¶¶ 18–28.) Halverson recommended a strategy that involved the purchase of separate life insurance policies with premiums financed by loans, not disclosing the risks that such an arrangement could entail variable and increased interest payments and additional tax scrutiny over and above alternative strategies. (Complaint ¶¶ 29–74.) When Halverson moved to a new firm, and Plaintiff presented his financial plans thereto, he was advised that the plan was too risky for the firm to oversee. (Complaint ¶¶ 75–79.) Plaintiff thereafter unraveled the policy, incurring thousands of dollars in fees and damages, including potential tax liabilities. (Complaint ¶¶ 80–101.)

Procedural History: Plaintiffs Frederick J. Rosenthal, Edith Eugenia Rosenthal, individually and as trustees of the Rosenthal 2022 Irrevocable Trust, filed the Complaint on April 25, 2025, alleging five causes of action:

Breach of Fiduciary Duty

Professional Negligence

Negligent Misrepresentation

Cal. Corp Code §§ 25504, 25504.1, 25235

Unfair Competition

Plaintiff filed a First Amended Complaint ("FAC") on December 12, 2025, alleging the same causes of action.

On March 26, 2026, this court sustained without leave to amend the demurrers of Columbus Life Insurance Company, Lincoln National Life Insurance Company, and Life Insurance of the Southwest to the FAC, and sustained the demurrer of George Lawrence Buza, Jr. as to the fourth cause of action for securities fraud without leave to amend.

Defendant Lincoln National Life Insurance Company filed a costs memorandum on April 8, 2026, seeking \$3,040.40.

Plaintiffs filed the present motion to tax costs on April 23, 2026.

Defendant Columbus filed an opposition on July 1, 2026.

Analysis:

MOTION TO TAX COSTS

"Any notice of motion to strike or to tax costs must be served and filed 15 days after service of the cost memorandum. If the cost memorandum was served by mail, the period is extended as provided in Code of Civil Procedure section 1013. If the cost memorandum was served electronically, the period is extended as provided in Code of Civil Procedure section 1010.6(a)(4)." (California Rules of Court ("CRC") Rule 3.1700, subd. (b)(1).)

"Code of Civil Procedure section 1032, subdivision (b) [], guarantees prevailing parties in civil litigation awards of the costs expended in the litigation: 'Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding.'" (Williams v. Chino Valley Independent Fire Dist. ("Williams") (2015) 61 Cal.4th 97, 100.).

"If the items on a verified cost bill appear proper charges, they are prima facie evidence that the costs, expenses and services therein listed were necessarily incurred." (Rappenecker v. Sea-Land Service, Inc. (1979) 93 Cal.App.3d 256, 266.) Although individual cost items are ordinarily challenged by a motion to tax costs, no cost-item is effectively put in issue by "mere statements" claiming them to be unreasonable. (Ibid.) However, where "it cannot be determined from the face of the cost bill whether the items are proper," "the mere filing of a motion to tax costs may be a 'proper objection' to an item." (Nelson v. Anderson (1999) 72 Cal.App.4th 111, 131, 132.)

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal, and the Rosenthal 2022 Irrevocable Trust ("Plaintiffs") move to tax certain costs sought by Defendant Lincoln National Life Insurance Company ("Defendant") following the court's sustaining of its demurrer without leave to amend on March 26, 2026. While Defendant's memorandum of costs seeks \$3,040.40 in costs, Plaintiff objects to \$1,000 sought for fees in connection with attorney Suman Chakraborty's pro hac vice application and \$425.00 in reporter's fees sought in connection with the demurrer hearing on March 26, 2026. (Motion at pp. 4–7.) Plaintiffs object that the pro hac vice costs are not permitted by statute, and that the court reporter fees are only awardable "as established by statute," where no statute authorizes the fees sought here. (Motion at pp. 4–7; Code Civ. Proc. § 1033.5, subd. (a)(11).)

The pro hac vice costs are not specifically allowed or prohibited by statute. When a prevailing party seeks "other" cost items not specifically awardable under Code of Civil Procedure § 1033.5, "the burden is on the party claiming the costs to show that the charges were reasonable and necessary." (Foothill-De Anza Community College Dist. v. Emerich (2007) 158 Cal.App.4th 11, 29.) "if an expense is neither expressly allowable under subdivision (a) nor expressly prohibited under subdivision (b) [of section 1033.5], it may nevertheless be recovered if, in the court's discretion, it is "reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation." (Science Applications Internat. Corp. v. Superior Court (1995) 39 Cal.App.4th 1095, 1103.)

Here, Defendant in opposition does not make the case for the reasonable necessity of the pro hac vice fees. It cites a trial court decision from Los Angeles Superior Court, in which pro hac vice fees were permitted as "other" costs because it was reasonable for "a plaintiff represented by out-of-state counsel to procure pro hac vice admissions for those attorneys, particularly when they will represent her at trial, and even where not all the attorneys will appear at trial." (Opposition at p. 3, citing 4/8/2026 Order in Cerna v. Johnson & Johnson, LASC Case No. BC620355.) But trial has not occurred in this action, and Defendant does not make the case for the reasonable necessity of retaining out of state counsel to be admitted pro hac vice in this action. These amounts, including two fees of \$500, are properly taxed.

However, the court reporter fees may remain. The presence of a court reporter at the demurrer hearing in this action was reasonably necessary for the conduct of this litigation, given the multiple dispositive or potentially dispositive motions to be heard at that hearing. Even if reporter's fees are not expressly allowable unless established by statute under Code of Civil Procedure § 1033.5, subd. (a)(11), reporter's fees not so established are still permitted under (Code Civ. Proc. § 1033.5, subd. (c)(4).) Here, such costs were not prohibited, and were reasonably necessary to this litigation.

The motion to tax is GRANTED, and \$1,000.00 is taxed from Defendant's memorandum of costs, leaving a total cost award of \$2,040.40.

Superior Court of California

County of Los Angeles

Department 732

FREDERICK J. ROSENTHAL, et al.,

Plaintiffs,

v.

JERALD JOSEPH HALVERSON., et al.,

Defendants.

Case No.: 25STCV12110

Hearing Date: July 15, 2026

[TENTATIVE] RULING RE:

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal, and the Rosenthal 2022 Irrevocable Trust's Motion to Tax Costs Sought by Defendant Lincoln National Life Insurance Company..

Plaintiffs Frederick J. Rosenthal, Edith Eugena Rosenthal, and the Rosenthal 2022 Irrevocable Trust's Motion to Tax Costs Sought by Defendant Lincoln National Life Insurance Company is GRANTED, and \$1,000.00 is taxed from Defendant's memorandum of costs, leaving a total cost award of \$2,040.40.

Plaintiff to provide notice.

Dated: July 15, 2026

Hon. Richard S. Kemalyan

Judge of the Superior Court